

**Step 2.** Rearrange the terms in the expressions and factor out dollars:

$$I^*(\text{Dollars}\$) = \left\{ a_1 \cdot \left( \frac{1}{\text{Price}} \cdot \frac{1}{\text{ADV}} \right)^{a_2} \cdot \sigma^{a_3} \right\} \cdot \text{Dollars}\$^2 \quad (11.17)$$

**Step 3.** The MI factor score is then:

$$K(\text{Dollars}\$) = a_1 \cdot \underbrace{\left( \frac{1}{\text{Price}} \cdot \frac{1}{\text{ADV}} \right)^{a_2} \cdot \sigma^{a_3}}_{\text{MI Factor Score}(\text{Dollars}\$)} \quad (11.18)$$

## Current State of MI Factor Scores

Portfolio managers are using the MI factor scores as an additional layer of quantitative screening, and as part of asset allocation and stock selection. Since the factor score incorporates both liquidity and volatility, and provides a consistent comparison across all stocks, they are quickly becoming the preferred TCA screening tool for funds. Results incorporating MI factor scores have been found to adhere to best execution practices by better ensuring consistency between trading goals and investing needs.

Kissell Research Group has begun providing MI factor scores to portfolio managers for global equities and various financial instruments across the multi-assets classes<sup>1</sup>.

## MI Factor Score Analysis

We compared the MI factor scores expressed in terms of dollars for large and small cap stocks. Scores are sorted from smallest (cheapest to trade) to largest (most expensive to trade). Large cap stocks had an average MI factor score of  $K = 0.001$  (Figure 11.8a). Visual inspection of the scores finds approximately three distinct categories. The first grouping consists of the 100 least expensive stocks to trade, the middle grouping consists of the 300 stocks with an average trading cost, and the last grouping consists of the 100 most expensive stocks to trade.

The first grouping of stocks represents, the cheapest trading cost stocks. Managers could transact these names with the least amount of worry of adversely affecting prices. Managers could also select to hold larger quantities of these stocks without incurring abnormally high costs. The third grouping of stocks represents the expensive trading cost stocks. These are the names that will result in the highest market impact cost of the group.

---

<sup>1</sup>Kissell Research Group, [www.KissellResearch.com](http://www.KissellResearch.com).